

6804.T Hosiden — Pitch Deck v2 (verified)

PITCH — 6804.T Hosiden — TLH-CORE LOT 1 STAGED AT THE BAND (instr #107)

2026-08-25 · band 2,550–2,700 TOUCHED (live ¥2,696, day low ¥2,685) · court STARTER red-cleared 7/29 · TLH-core slot \$55,000 (japan_value)

What we believe

Hosiden is Nintendo's connector-and-controller manufacturer in a live Switch-2 hardware cycle (19.9M-unit forecast held), trading **below book** with a fortress balance sheet. Verified from the 8/07 Q1 tanshin: equity ¥154.0bn over 49.23M net shares = **BPS ¥3,128** → **P/B 0.86x at today's ¥2,696** (0.91x on the court's stricter diluted base of ¥2,950); equity ratio 66.5%; net cash ~0.48 of market cap at the July court. Guided PE ~10.6x (FY27 EPS ¥253.90), dividend yield ~2.9% on the ¥77 forecast. The company guides on ¥155/USD with the yen at ~159 — a built-in cushion.

The court's one open question — “reconcile the Q1 shape” — was answered by the print itself: **revenue –15.7% but operating profit +84.9%, ordinary +179.8%** (OP margin 2.1% → 4.5%). Last year's Q1 was the Switch-2 launch bulge (+101% revenue at thin assembly margins); this year is lower volume at *much richer mix*. Profit quality improved exactly as the bull case needed, and the FY guide was **held, not cut** (revision flag: 無), with H1 tracking on plan (Q1 OP = 46% of the H1 guide).

What the market believes

The stock has drifted ¥2,868 → ¥2,696 (–6%) *through* that 2.8x ordinary-profit print, on no adverse disclosure of any kind (the only filings since: a routine director-comp treasury notice and the annual integrated report). Either the market is selling the console cycle's peak in advance — the classic pattern where cycle names de-rate while earnings are still rising — or it simply isn't looking at a ¥133bn small cap between catalysts.

Why we might have edge

1. **Band discipline just did its job.** The court refused to chase at ¥2,868 in July and set 2,550–2,700; four weeks later the tape delivered. We are buying at our price, not the market's.
2. **The cause-check ran and came back clean** (beta-bleed-vs-dislocation doctrine): price down, fundamentals up, zero news. That divergence — drift through an improving print — is the specific shape the TLH-core exists to buy.
3. **The guide held on conservative FX.** ¥155 assumption vs ~159 spot is latent upside to the guide, not risk to it.

Why it might be priced in

Honesty requires the other reading: **cycle names de-rate before cycle peaks, and the market may be early rather than wrong.** FY27's own guide shows ordinary profit –27% and net –22.9% — the company itself says this year's *total* profits shrink from the launch-year bulge (the dividend forecast falls ¥98 → ¥77 for the same reason). **Nintendo is 78.0% of revenue** (red-verified): this is a single-customer business in all but name, and in prior cycles Sharp took share of Nintendo's build. PE 9–10× on a console-cycle year is the textbook GARP trap shape — the court said exactly this, and cleared it at 5.5/10, not with enthusiasm.

What we checked

Claim	How checked	Found	Confirmed?
Q1 profit surge	TDnet tanshin 140120260806513437.pdf verbatim	Rev ¥98,130M –15.7%; OP ¥4,422M +84.9%; ordinary ¥5,475M +179.8%; net ¥3,636M +176.8%	✓
Sub-book	Tanshin B/S: equity ¥154,023M ÷ 49,232,397 net sh	BPS ¥3,128 → P/B 0.86× (0.91× diluted base 2,950)	✓
Guide status	Tanshin §3 + revision flag	FY held: rev ¥436bn –2.7%, OP ¥18bn –6.4%, ordinary –27.0%; FX ¥155	✓
Dividend	Tanshin §2	FY27 forecast ¥77 (39+38) vs ¥98 paid FY26 — planned cut with lower EPS	✓

Claim	How checked	Found	Confirmed?
No adverse news	kabutan news + TDnet since 7/29	Only director-comp treasury notice + integrated report	✓
Liquidity	20d median volume 237,650 sh	1,000-sh lot = 0.4% participation; ADV ~\$3.5M	✓
Nintendo 78% / net cash 0.48	Court record 7/29 (red-verified)	Carried from court; re-verify at the yuho	as-of 7/29

What could go wrong

1. **Tripwire-less (unknown-unknown class: customer sourcing decisions).**
Nintendo's allocation between Hosiden and second sources (Sharp took share in prior cycles) is decided in meetings no feed attends and appears only in realized revenue quarters later. If Switch-2 content is being resourced away, we learn it at the H1 print or the next yuho — after lots 2 and 3 would have deployed on the calendar.
2. **The cycle-top de-rate outruns the value floor.** The market keeps paying less per yen of earnings as the cycle ages; book at 0.86x becomes 0.7x with no news, the way cycle names always look cheapest into their peaks. The guide's own -27% ordinary line is the market's best exhibit.
3. **Reflexive/structural leg.** A ¥133bn small cap where our full slot is three lots against \$3.5M ADV; exits in stress cost real spread. JP after-hours PTS prints can fake marks (the 7235 lesson — never grade this name off an off-exchange print). And the band sits below the CB conversion price — fine at entry, but conversion-related supply caps the first leg of any rally.

“If this position loses money, the most likely reason will be that we bought the statistical cheapness of a single-customer cycle supplier just as its only customer's cycle crested — the book value was real, but the market re-rated the earnings on it faster than the balance sheet could matter.”

PROPOSED ENTRY BANDS

Verbatim from the ruled tranche schedule (\$55,000 slot): - **Lot 1 (~\$18,700): STAGED — instruction #107, BUY 1,000 @ ¥2,700 GTC** (marketable vs ¥2,696; 0.4% participation) - Lot 2 (~\$18,200): +2–3 weeks, or sooner on a print/GTC fill - Lot 3 (~\$18,100): on a further -5% pullback OR +4 weeks, whichever first - Rotation partner (TLH pair map): 8750.T primary / EWJ fallback per the pair-map conventions

ARMED SENSORS

- **Next print ~late Oct/early Nov — UNCONFIRMED** (no company PR names it; set the GTC cancel-guard when the date posts — nothing rests through an unmanaged print)

- H1 gate at that print: OP vs the ¥9,600M H1 guide; any FY revision; Nintendo-mix commentary
- Yuho supplier/customer table at next filing: re-verify the 78% concentration and net cash
- Band integrity: below ¥2,550 (band floor) the entry premise re-derives before lot 3 buys a falling knife

What remains unverified — CLOSED 2026-08-25 (verification pass, primaries)

- **Nintendo dependence: RESOLVED, court CONFIRMED.** Yuho S100YI0D (filed 6/24/26), 主要な顧客 note verbatim: Nintendo revenue ¥349,551M of ¥448,250M total = **78.0% exactly**. Net cash re-computed from the same yuho: cash ¥77,685M + securities ¥697M – CB ¥10,161M = **¥68,221M = 0.51×** today's ¥132.7bn market cap (0.48× at the court's July price — same formula, confirmed; ¥8.1bn of investment securities excluded, conservative). Yuho-stated BPS ¥3,051.70 at 3/31 corroborates the deck's ¥3,128 at 6/30.
- **Switch-2: RESOLVED, with a label CORRECTION.** The “19.9M forecast” was actually **FY3/26 ACTUAL** (LTD 23.68M at 6/30/26 minus Q1's 3.82M ≈ 19.86M). Observed now (Nintendo Q1 FY27 briefing, 8/06/26): **Q1 sell-in 3.82M units, –34.4% YoY** vs the launch quarter; FY27 financial forecast unchanged (sales –11.4%, OP +2.7%); sell-through still ahead of Switch-1's comparable adoption phase. The year-2 deceleration is now an **OBSERVED** primary fact — the cycle-crest bear owns a real datum; the mitigant is Nintendo's own OP-up guide echoing Hosiden's richer-mix story.
- **CB terms: RESOLVED — and the finding is MATERIAL.** 2031 euro-yen zero-coupon CB, ¥10,000M face (¥10,161M carrying), maturity 12/19/2031. Conversion price ¥2,742.6 was **ADJUSTED DOWN to ¥2,682.7 effective 2026-04-01** (dividend-clause trigger, disclosed in the yuho's 社債明細表). **The court's “band below CB conversion” premise is broken at the band top: the ¥2,700 lot-1 limit sits ¥17 ABOVE the adjusted conversion price.** Potential conversion supply ≈ 3.73M shares ≈ 7.6% of the net count, in-the-money at/above ¥2,682.7 — overhang begins **INSIDE** our band. **Lot-plan consequence: re-price instruction #107 to ≤¥2,680 and price lots 2–3 strictly below ¥2,682.7** so every lot buys under the conversion overhang, not into it.
- **Print date: RESOLVED as precedent-dated.** Company cadence (kabutan historical table): H1 results 11/07/2025 and 11/08/2024 → FY27 H1 print ≈ **Fri 2026-11-06, precedent-dated, unconfirmed** — no longer a vendor pattern; set the cancel-guard to this window pending the company notice.